

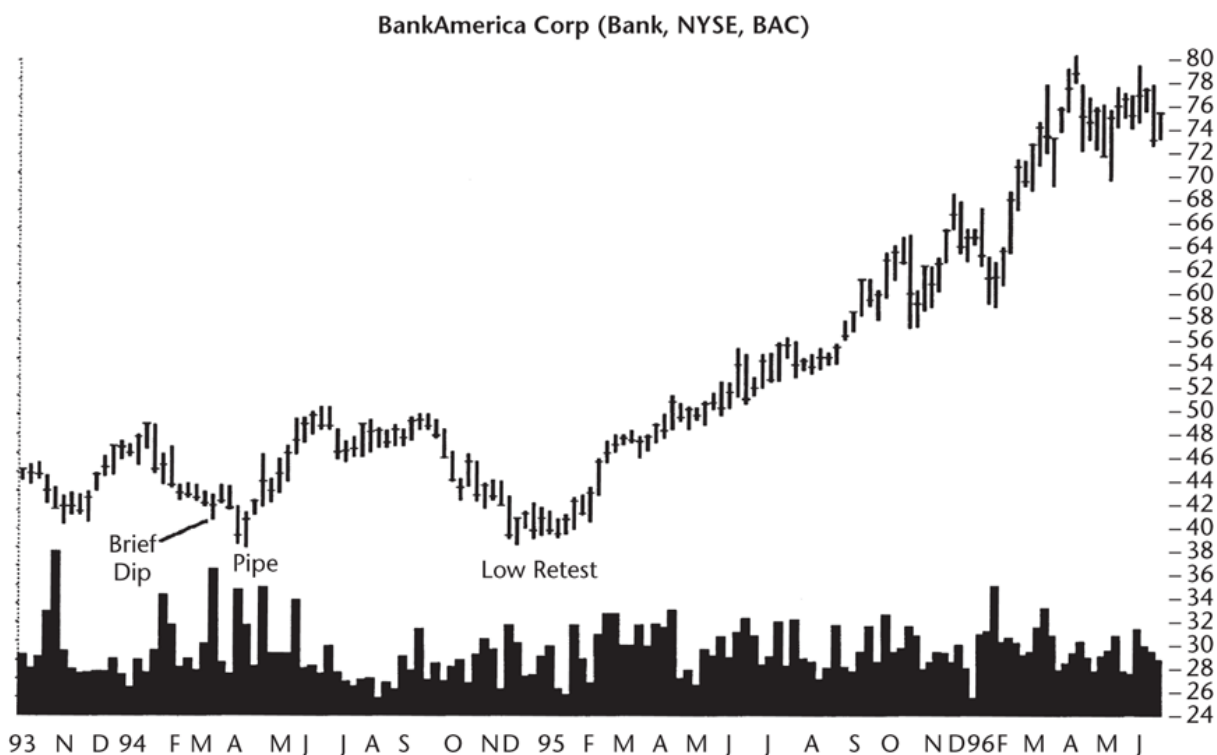


Figure 49.4 Pipe bottom with preceding brief price dip and following low retest (weekly chart). As described in the Sample Trade, Peter bought this stock the week after the pipe completed and sold it for a 71% gain 2 years later.

As Peter watched the stock, he was pleased that it was working out so well. “The real test would be when the stock approached the top of its trading range.”

Over the prior 2 years, it had reached a high of 55.50 and a low of 40.50. If you exclude 3 months when price shot higher and then fell back down, the range was tighter, with a high about 49. “The keys were 49 and 55.50. If price pierced those levels, then the stock would probably continue moving up. Or so I hoped. I watched the stock, and when it hit 50.25 and fell back, I knew this run was not the one that would send the stock higher.”

Price crumbled again. “I crossed my fingers and hoped that it was only a retest of the low and not the start of a new downtrend.”

During late November, price reached a low of 38.63, tying one of the pipe lows. Then price moved modestly higher. “That’s when I doubled my position. Averaging down.”